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Real Estate in 2025: Building a Recovery with Strict Monetary Policy Overview

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Roll No: PGBA25002

Course: MBA (Organizational Behaviour Project)

Diagnostic Tool: Motivation Scale

Date: 11-11-2025

Abstract

This study looks at India's real estate market against the backdrop of strict monetary policy in 2024 and 2025. The industry faces challenges such as higher borrowing costs, weak demand, and changing investor attitudes due to the Reserve Bank of India's (RBI) strict monetary policy aimed at controlling inflation. However, factors like increasing urbanization, government infrastructure investments, and steady housing demand suggest the potential for a slow recovery. The main argument is that structural fundamentals and policy support can sustain medium-term momentum, despite tight monetary conditions limiting short-term growth. The study concludes that lower interest rates, accessible housing financing, and targeted fiscal incentives could balance macro stability with real estate recovery, providing valuable insights for investors and policymakers.

Overview

With over 50 million workers and contributing 7% to GDP, the real estate industry is a vital part of the Indian economy. It drives output and job creation, affecting industries such as steel, cement, and financial services. However, recovering under strict monetary policy presents a complex challenge for the sector in 2024 and 2025. To combat inflationary pressures after the post-pandemic rebound, India's central bank raised policy rates from 4.0% in 2022 to around 6.5% in 2024. This increase affected the affordability of homes for buyers and the financing conditions for developers. Still, the sector remains resilient due to factors like the government’s focus on "Housing for All," rapid urbanization, and strong demand for mid-range housing.

This report investigates how India's real estate sector is navigating the recovery amid tight financial conditions. It aims to link sector performance with key macro indicators, such as GDP, inflation, and interest rates, to assess risks and opportunities. The goal is to provide a balanced analysis that aids informed policy and investment decisions in the industry.

Literature Review

Macroeconomic theory highlights the link between aggregate supply (AS) and demand (AD) in determining output and price levels. A tight monetary policy that increases interest rates to lower inflation shifts the AD curve left, which discourages investment and consumption (Mankiw, 2022). Real estate, being sensitive to interest rates, reacts strongly to these changes. Kiyotaki and Moore (1997) explored how credit constraints amplify real sector fluctuations, linking the housing market's cyclical nature to credit availability.

Many studies have examined these dynamics in India. The RBI's Financial Stability Report (2024) found that while higher repo rates have slowed housing credit growth, residential sales, especially in Tier-1 cities, remained resilient. Knight Frank (2025) projected an 8–10% price increase in prime locations, citing strong demand fundamentals despite policy tightening. CRISIL (2024) noted that developers have improved their balance sheets and reduced interest-rate shocks by lowering leverage ratios.

Research from JLL (2025) and NITI Aayog (2023) emphasizes the importance of aligning fiscal and monetary policies to support real estate growth without raising prices. Commonly, macro indicators like GDP growth, inflation, and interest rates are included in the adopted frameworks.

By linking these macro indicators to real estate performance, this report expands on the AD-AS model and credit-channel theory. The underlying argument is that structural demand driven by urbanization and income growth can stabilize the sector, even as monetary tightening dampens speculative demand.

Analysis

Sector Performance Overview

The Indian real estate market in 2024 and 2025 presents mixed signals. While new project launches increased by 5%, residential sales in major cities grew by 9% annually (Knight Frank, 2025). However, leasing activity in the commercial sector was subdued, mainly due to postponed corporate expansion plans and higher financing costs. Despite macro challenges, the sector's GDP contribution remained steady at around 7.2%. Construction employment growth slowed to 3.5%, down from 5.8% in 2022–2023 due to delays in project completion caused by increased financing costs.

Linkages with Key Macroeconomic Indicators

1. GDP Growth:

India's GDP growth slowed from 7.2% in FY2023–2024 to an estimated 6.5% in FY2024–2025 (IMF, 2025). This slowdown reduced housing demand by lowering disposable incomes. However, government capital spending on infrastructure (₹11.1 lakh crore in FY2024–25) indirectly boosted construction activity, sustaining demand for homes and businesses.

2. Inflation:

Average CPI inflation in 2024 was around 5.3%, above the RBI's target of 4%. Project costs increased by 6–8% due to higher input costs for cement and steel. Developers absorbed some of these costs to maintain affordability, which reduced profit margins but prevented a more severe slowdown.

3. Interest Rates:

The RBI kept the repo rate at 6.5% throughout 2024. This meant that average home loan rates were about 9.0%. For middle-class buyers, this reduced affordability by roughly 10% to 12% (HDFC, 2025). Typically, a 100 basis point rise in lending rates leads to an 8–10% drop in housing demand due to its sensitivity.

Main Argument

The sector shows underlying strength despite restrictive policies, driven by end-user demand rather than speculative buying. Developers' solid financial practices, effective inventory management, and government programs like PMAY-Urban (Pradhan Mantri Awas Yojana) have contributed to stability. Demand remains strong in the luxury and mid-income markets, particularly in Hyderabad, Bengaluru, and Mumbai.

Counter-View

Conversely, persistently high rates could hinder liquidity and delay investment cycles. CARE Ratings (2024) warns that if monetary policy remains tight through 2025, the sector's recovery may stall because financing costs for developers will stay high. Additionally, global uncertainty and potential oil price shocks could reignite inflation, leading to further policy tightening.

Conclusion of Analysis

Overall, India's real estate market is balancing short-term resilience with medium-term risks if financial conditions stay tight. Alongside support for affordable housing, a gradual reduction in interest rates in 2025 could speed recovery and promote growth.

Discussion, Conclusion & Recommendations

The findings indicate that resilience amid constraints defines India's real estate recovery under strict monetary policy. Despite demand pressure from inflation and interest rates, macroeconomic indicators support structural strength driven by GDP growth and fiscal expansion. Developers' deleveraging and increased end-user housing demand are positive signs of the sector's maturity.

From a policy perspective, a balanced monetary strategy is crucial. The RBI may consider gradual easing once inflation drops below 5% to ensure affordable credit without risking price stability. Fiscal authorities should enhance the Credit Linked Subsidy Scheme (CLSS) to attract private investment and accelerate infrastructure-led urban development.

Investors are advised to adopt a selective approach, focusing on affordable and mid-income housing projects in Tier-2 cities, where demand remains strong. Opportunities in commercial real estate and REITs may also arise as interest rates decline. The broader lesson is that coordination between fiscal expansion and monetary restraint is vital for sustainable real estate growth. With structural reforms, such as improving land records,

simplifying regulatory processes, and promoting green building practices, the sector will become more competitive in the long run.

Thus, while tight monetary policy has slowed short-term progress, the sector's fundamentals position it for steady recovery in 2025 and beyond.

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